



WHERE INDIA STANDS

- US was levying average tariff of about 3.5% on Indian imports
- Share of goods in total exports is relatively lower for India

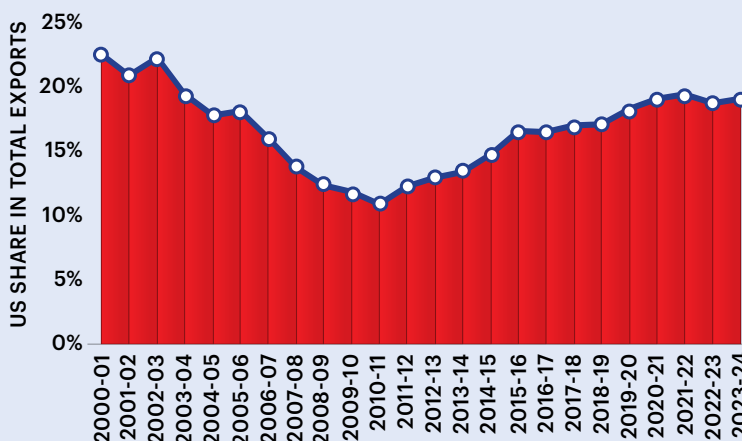
SHARE OF GOODS IN TOTAL EXPORTS

CHINA	96%
NETHERLANDS	92%
GERMANY	87%
ITALY	87%
JAPAN	78%
UNITED STATES	66%
FRANCE	62%
INDIA	55%
SINGAPORE	54%
UNITED KINGDOM	49%
WORLD	77%

SOURCE WORLD BANK

INDIA-US TRADE TIES

- The US is India's top trading partner and export market
- India-U.S. trade exceeded \$125 billion in 2024
- Electronics, gems and jewellery, and pharma products comprise nearly 38% of India's exports to the US



SOURCE MOSPI

ceptable outcome based on some concessions. In the long run, even the 10% levy will elevate costs and make the US uncompetitive.

“Sparing other countries from high tariffs suggests an effort to avoid international isolation while still appearing tough,” agrees Ajay Srivastava, founder of think-tank Global Trade Research Initiative, adding that with inflation concerns at home and strained ties abroad, this risks hurting American consumers and businesses more than its intended target.

Industry had been worried that goods shipments to the US will not only become more expen-

THE RBI GOVERNOR SAYS TARIFFS WILL DAMPEN SPENDING AND INVESTMENT DECISIONS OF BUSINESSES AND HOUSEHOLDS

sive, but that orders could stop.

The US remains a key export destination for India and is its largest trading partner with exports of \$68.46 billion between April 2024 and January 2025 or about 19% of total exports. The key exports

include electronics, gems and jewellery, pharma, auto components and garments and textiles.

For now, the government remains hopeful that the ongoing negotiations for the bilateral trade agreement (BTA) with the US, the